MERIDIAN FINANCE PRIVATE LIMITED
A Non-Banking Financial Company (NBFC-ICC, Middle Layer)

Consumer Durable & BNPL Loan Credit Policy

Unsecured Consumer Durable & Buy-Now-Pay-Later Loans

Version 1.0 (baseline) • Effective 1 February 2023 • Classification: Internal / Confidential

*Fictitious test document. This is the **baseline (v1.0)** policy, last reviewed before the RBI circulars issued during 2023-2025. It is intentionally NOT yet aligned to those circulars - the required changes are set out in the companion **Regulatory Impact Assessment**. "Meridian Finance Private Limited" is not a real entity; all RBI references cited elsewhere are real.*

1. Document Control

Field	Detail
Policy code	CD-CP-002
Owner	Chief Risk Officer
Approved by	Board of Directors
Version	1.0 (baseline)
Effective date	1 February 2023
Last reviewed	1 February 2023
Status	Pending regulatory refresh - see Regulatory Impact Assessment
Classification	Internal / Confidential

2. Purpose & Scope

This Policy governs the sourcing, underwriting, pricing, disbursement, servicing and collection of the Company's unsecured consumer durable & buy-now-pay-later loans. It applies to all channels (branch, tele-sales, the Company's app, and digital partners) and binds all employees and outsourced partners engaged in the loan lifecycle.

3. Eligibility & Product Parameters

All lending must fall within the parameter matrix below.

Parameter	Value
Ticket size	Rs. 3,000 - Rs. 5,00,000
Tenor	3 - 24 months
Minimum bureau score	690 (new-to-credit allowed on rule)
Maximum FOIR	55%
Interest / scheme	0% subvented EMI to 24% p.a.
Processing / convenience fee	up to 4% + GST
Security	Nil (unsecured)

4. Operative Clauses (baseline)

The following are the Policy's current operative clauses. (Several of these predate later RBI circulars and are flagged for revision in the Regulatory Impact Assessment.)

4.1 Pricing & scheme disclosure

For zero-cost / subvented EMI schemes, scheme terms and merchant subvention are agreed with the merchant partner. Charges applicable to the borrower are shown at checkout in the partner app.

4.2 Default & late payment

Late payment attracts **penal interest of 3% per month** on the overdue EMI, added to the loan outstanding until paid.

4.3 Digital onboarding & data

Onboarding is fully digital through merchant / Lending Service Provider apps. The LSP performs KYC and captures the customer data needed to complete the journey; disbursal to the merchant is made by the LSP on the Company's behalf.

4.4 Credit information reporting

Loans, including small-ticket and BNPL facilities, are reported to Credit Information Companies **monthly**.

4.5 Capital & risk weight

Consumer durable and BNPL loans are treated as standard retail exposures at a **risk weight of 100%**.

5. Governance & Review

The Board owns this Policy and the Company's credit risk appetite; the Risk Management Committee of the Board reviews portfolio quality and regulatory change. This Policy is reviewed at least annually and whenever the RBI issues an instruction affecting the product. The maker cannot self-approve. Deviations are permitted only within the Board-approved deviation matrix and reported monthly to the Credit Committee.